

OPEN-END MUTUAL FUND

It allows us to invest & redeem at any given time based on our convenience. Mutual funds where we can enter and exit at any given point in time are called open-end mutual funds

CLOSE-END MUTUAL FUND

We are allowed to invest in closed-end mutual funds exclusively upon their announcement or when the fund manager specifically opens the fund for new investments. Funds, where entry & exit is restricted, are called closed-end mutual funds.

GROWTH MUTUAL FUND

In a growth fund, the profits of the fund are reinvested in the fund instead of distributing it to the investors. Due to this, the wealth compounds. The objective is to increase the amount so that we can sell off the mutual fund at a high price.

DIVIDEND MUTUAL FUND

In dividend mutual funds, the profits of the fund are regularly distributed among the investors in the form of dividends. It is not reinvested and hence the growth of the originally invested amount is slower. It is suitable for those who want a steady source of income.

FRONT LOAD

Mutual funds at times charge the investors when they invest money in the scheme. It is charged upfront at the time of investing and is called the front load.

EXIT LOAD

Mutual funds at times charge the investors when they withdraw money from the scheme. It is charged at the time of withdrawal and is called exit load.